Illustration 15

Shero Health Care Ltd. invited applications for 3,00,000 equity shares of ₹ 10 each at a premium of ₹ 2 per share payable as follows:
₹ 3 on application
₹ 5 (including premium) on allotment
₹ 4 on first and final call
There was over subscription and applications were received for 4,00,000 shares and the excess applications were rejected by the directors. All the money due were received. Pass the journal entries.

Solution

Note: Number of shares rejected = 4,00,000 - 3,00,000 = 1,00,000

In the books os Shero Health Care Ltd
Journal entries

Date	Particulars	L.F.	Debit ₹	Credit ₹
	Bank A/c (4,00,000 × 3) Dr.		12,00,000	
	To Equity share application A/c			12,00,000
	(Application money on 4,00,000 shares @ ₹ 3 per share received)			
	Equity share application A/c (3,00,000 × 3) Dr.		9,00,000	
	To Equity share capital A/c			9,00,000
	(Share application transferred to share capital)			
	Equity share application A/c (1,00,000 × 3)		3,00,000	
	To Bank A/c			3,00,000
	(Money refunded for rejected applications)			
	Equity share allotment A/c (3,00,000 × 5) Dr.		15,00,000	
	To Equity share capital A/c (3,00,000 × 3)			9,00,000
	To Securities premium A/c (3,00,000 × 2)			6,00,000
	(Share allotment money ₹ 5 per share including ₹ 2 premium receivable for 3,00,000 shares)			
	Bank A/c (3,00,000 × 5) Dr.		15,00,000	
	To Equity share allotment A/c			15,00,000
	(Allotment money received)			
	Equity share first and final call A/c Dr.		12,00,000	
	To Equity share capital A/c (3,00,000 × 4)			12,00,000
	(Call money receivable)			

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